

Cover letter

Dear Editor,

We submit the research paper titled "Financial data version risk in bankruptcy model validation: separating scoring, development and evaluation effects" for consideration as a research paper.

The paper addresses a validation problem that current practice leaves open. A historical financial predictor can have several reported values, and a chronological train and test split does not specify which version a development process or a scoring exercise uses. I develop a crossed version validation protocol that holds observation identities, outcome labels, design weights and initial missingness fixed while version selection varies separately at development and at scoring. The protocol separates substitution of scoring inputs, redevelopment of the fitted pipeline and selection of the evaluated population, and it treats the information available at model fitting separately from the information available at the prediction origin.

Applied to 5,502 annual filing windows with 188 linked bankruptcy registry events, the protocol shows that favorable differences between independently redeveloped pipelines need not reflect improved scoring inputs. The direct substitution contrast was -2.78, +1.37 and +0.11 average precision points across three test blocks against +4.95, +1.43 and +1.90 points for redevelopment, and changing the development domain while holding the evaluation sample fixed altered one contrast from +2.85 to -16.01 points. I read these results as evidence that financial data versioning belongs in model validation and governance records, and the paper sets out the reporting fields that make a version rule auditable.

The paper is original, is not under consideration elsewhere, and has not been published previously. It is a single author submission. An AI use statement and declarations of interest appear in the manuscript. The anonymised main text, the supplementary material, editable figure and table files and the LaTeX source are uploaded with this letter.

Yours sincerely,

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